Bridgepath Capital
Invest to Achieve

# Malawi Financial Market Update

Week ending 2 May 2025

# Malawi Financial Market Update: Week ending 2 May 2025

Bridgepath Capital
Invest to Achieve

## Market developments

*The Minister of Labor has confirmed that the minimum wage review process is complete and awaiting to be gazetted.*

*As of 1 May 2025, 22.4 million kilograms (kgs) of tobacco have been sold at an average price of USD2.32/kg, generating a total of USD51.86 million.*

### What happened this week

1. The Minister of Labor has confirmed that the minimum wage review process is complete and awaiting to be gazetted. At last week's Tripartite Labor Advisory Council (TLAC) meeting, the Malawi Congress of Trade Unions (MCTU) and the Employers Consultative Association of Malawi failed to reach an agreement, with the former demanding a 100% increase and the latter offering 40%. The president of the Economics Association of Malawi (ECAMA) noted that a 40% hike in the public sector could be managed through internal budget adjustments, but a 100% increase would sharply raise recurrent spending, risking fiscal overruns and forcing cuts in key development areas or increased borrowing. (*The Nation, 2 May 2025*)

2. The Reserve Bank of Malawi and the Bankers Association of Malawi plan to phase out the use of cheques by 31 December 2025. This move is driven by declining cheque usage, fraud risks, and a shift towards digital payments. Authorities say the change will enhance efficiency, security, and affordability in the payment system. Legislative amendments are underway to support the transition. Users may face higher costs if they continue using cheques beyond the proposed deadline. (*The Daily Times, 2 May 2025*)

3. Uranium from Malawi's Kayelekera Mine has been exempted from US tariffs, reflecting its strategic importance. Prices remain stable, and export routes are set through Tanzania and Namibia. The mine is progressing toward a third-quarter 2025 production restart, with major refurbishments underway. Stakeholders urge leveraging this exemption to negotiate better terms for other exports. There's also a call for stronger local ownership in mining to support Malawi's long-term growth goals. (*The Nation, 26 April 2025*)

4. As of 1 May 2025, a cumulative 22.4 million kilograms (kgs) of tobacco have been sold at an average price of USD2.32/kg. The cumulative amount raised so far is USD51.86 million. (*Auction Holdings Limited, 1 May 2025*)

5. Sunbird Tourism Plc published its audited summary financial results for the year ended 31 December 2024. The Company generated MK54.60 billion in total revenue, a 57% increase from the MK34.82 billion generated in 2023. Profit after tax increased by 102% to MK10.62 billion from MK5.25 billion in 2023. The board has recommended a final dividend of MK2.7 billion (MK10.50 per share), subject to shareholders' approval at the forthcoming Annual General Meeting. (*Sunbird Tourism Plc, 2 May 2025*)

6. Press Corporation (PCL) Plc released its audited summary financial results for the year ended 31 December 2024. The Group reported a 68% rise in profit after tax to MK126.35 billion from MK75.05 billion in 2023. For the 2024 financial year, the company paid an interim dividend of MK1.35 billion (MK11.25 per share), and a final dividend will be considered ahead of the next Annual General Meeting. (*Press Corporation Plc, 30 April 2025*)

7. MPICO Plc released its audited summary financial results for the year ended 31 December 2024. The Group reported a 25% increase in total revenue to MK21.63 billion from MK17.35 billion in 2023, driven by a 17% rise in rental income to MK8.06 billion following rent reviews, and a 35% increase in fair value gains to MK12.07 billion. Profit after tax increased by 72% to MK12.18 billion from MK7.07 billion in 2023. (*MPICO Plc, 28 April 2025*)

8. ICON Properties Plc published its audited summary financial results for the year ended 31 December 2024. The Company reported a 53% increase in total income to MK32.10 billion from MK20.92 billion in 2023. Profit after tax increased by 27% to MK24.42 billion from MK19.16 billion in 2023. For the 2024 financial year, an interim dividend of MK935.2 million (MK0.14 per share) was paid, and the directors have recommended a final dividend of MK1.00 billion (MK0.15 per share). (*ICON Properties Plc, 30 April 2025*)

9. Telekom Networks Malawi (TNM) Plc released its audited summary financial results for the year ended 31 December 2024. The Group reported a profit after tax of MK10.06 billion, a turnaround from the net loss of MK4.93 billion recorded in 2023. Revenue and other income rose by 34% to MK158.17 billion. The directors have declared a nil dividend for the 2024 financial year. (*TNM Plc, 30 April 2025*)

10. FMB Capital Holdings Plc released its audited summary financial results for the year ended 31 December 2024. The Group reported an 8% increase in total operating income to USD278.30 million from the USD257.07 million reported in 2023, and a 13% increase in profit after tax to USD103.52 million from USD91.74 million in 2023. (*FMB Capital Holdings Plc, 2 May 2025)*

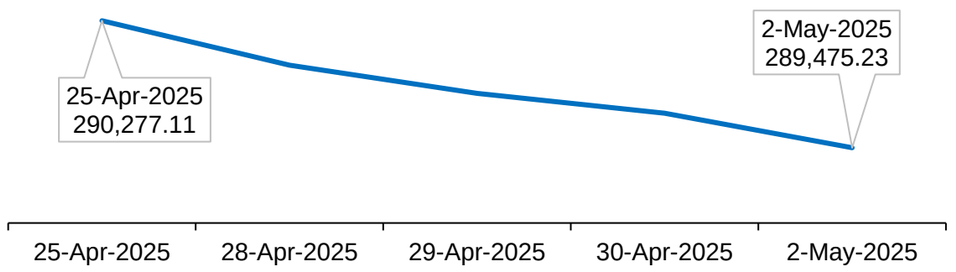
11. National Bank of Malawi (NBM) Plc will hold its 53rd Annual General Meeting (AGM) of the Company virtually and physically from the NBM Leadership Centre in Blantyre on 26 June 2025. (*The Nation, 1 May 2025)*

# Malawi Financial Market Update: Week ending 2 May 2025

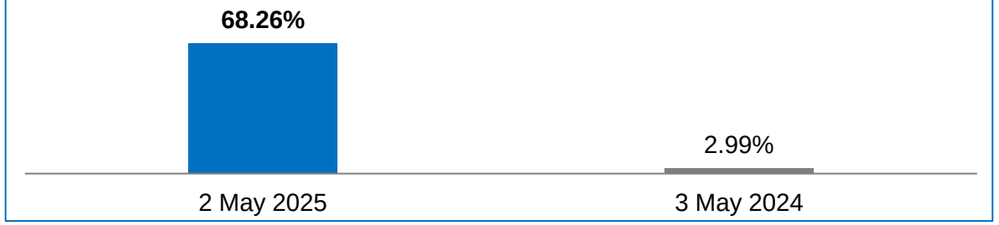
## Stock market (Source: MSE)

*The stock market was bearish, with the Malawi All Share Index (MASI) closing the week ending 2 May 2025 at 289,475.23 points from 290,277.11 points on 25 April 2025. This was primarily driven by the share price loss in FMBCH.*

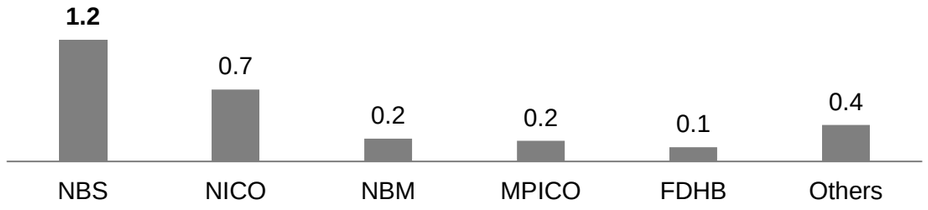
### Daily Malawi All Share Index (MASI)



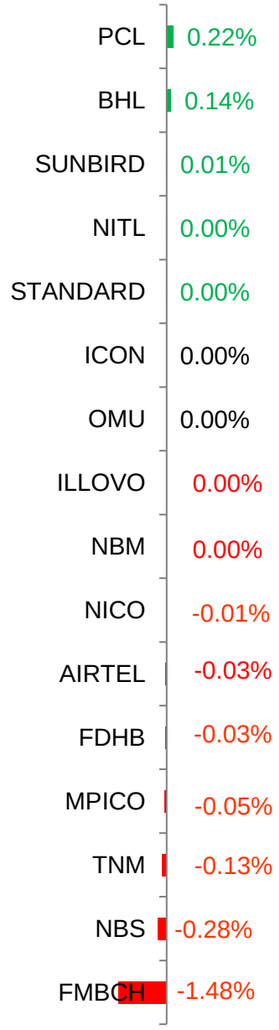

**MASI year-to-date -** The MASI closed the week with a year-to-date return of 68.26%. It was 2.99% during the same period in the previous year.




**Value of shares traded (MK'billion) -** NBS had the highest value of shares traded during the week at MK1.2 billion. The total value of shares traded was MK2.9 billion.




### Week-on-week share price percentage change (%)




| Symbol | Closing prices as of 2 May 2025 (MK/share) | Closing prices as of 25 April 2025 (MK/share) |
|---|---|---|
| AIRTEL | 128.99 | 129.03 |
| BHL | 14.57 | 14.55 |
| FDHB | 314.30 | 314.40 |
| FMBCH | 1,129.98 | 1,146.98 |
| ICON | 17.95 | 17.95 |
| ILLOVO | 1,791.57 | 1,791.58 |
| MPICO | 18.99 | 19.00 |
| NBM | 6,200.10 | 6,200.14 |
| NBS | 341.24 | 342.20 |
| NICO | 776.66 | 776.71 |
| NITL | 715.07 | 715.04 |
| OMU | 2,500.00 | 2,500.00 |
| PCL | 4,000.00 | 3,991.34 |
| STANDARD | 9,502.03 | 9,502.00 |
| SUNBIRD | 300.16 | 300.14 |
| TNM | 22.99 | 23.02 |

# Malawi Financial Market Update: Week ending 2 May 2025

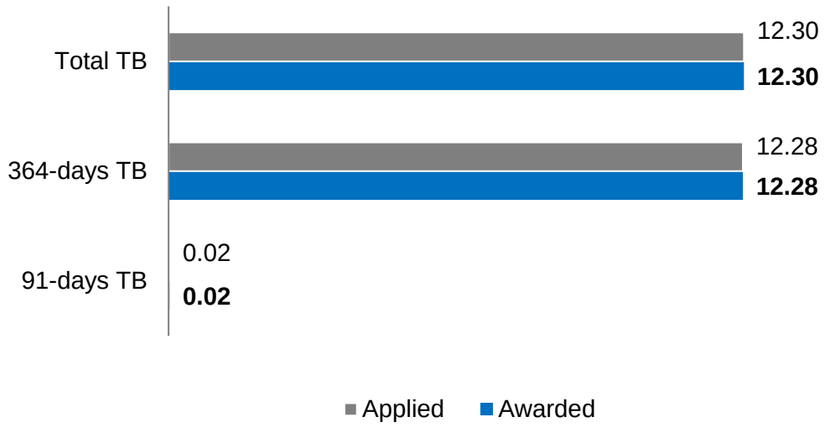
## Government securities (Source: RBM)

*The Reserve Bank of Malawi held an auction for all tenors of Treasury Bills (TBs) during the period under review.*

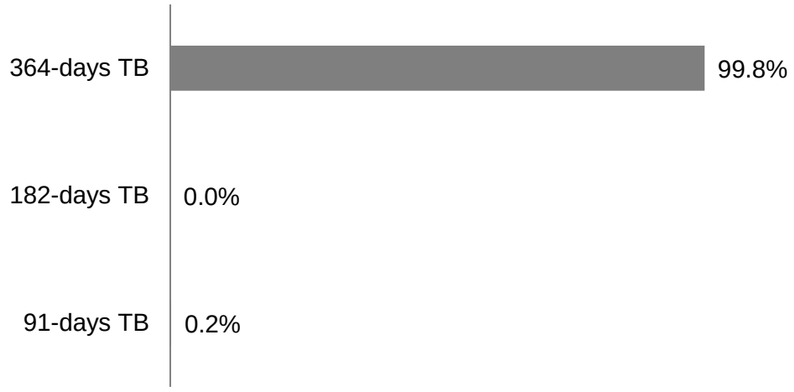
*The total amount raised from the TBs auction was MK12.30 billion, primarily driven by the 364-days TB.*

*The average Treasury Bill and Treasury Note yields remained at 20.67% and 31.95%, respectively, during the period under review.*

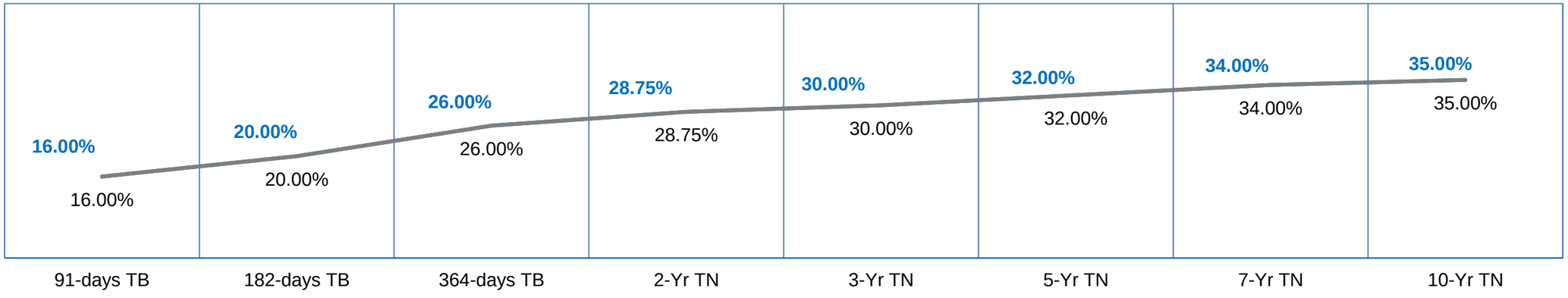
### Treasury Bills auction (MK'billion)




### TB subscription rates (%)




### Government securities yield curve




TB: Treasury Bill
TN: Treasury Note

# Appendix 1: Historical Economic Indicators

Bridgepath Capital
Invest to Achieve

| | Apr-24 | May-24 | Jun-24 | Jul-24 | Aug-24 | Sep-24 | Oct-24 | Nov-24 | Dec-24 | Jan-25 | Feb-25 | Mar-25 | April-25 | 2-May-25 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Exchange Rates (middle rates)** | | | | | | | | | | | | | | |
| MK/USD | 1,745.70 | 1,750.76 | 1,749.51 | 1,749.95 | 1,750.31 | 1,750.37 | 1,749.95 | 1,750.11 | 1,749.93 | 1,750.35 | 1,749.65 | 1,750.25 | 1,750.51 | **1,734.01*** |
| MK/GBP | 2,256.81 | 2,285.22 | 2,274.74 | 2,311.11 | 2,368.68 | 2,411.29 | 2,338.28 | 2,290.94 | 2,250.25 | 2,233.84 | 2,268.53 | 2,329.61 | 2,412.28 | **2,377.03*** |
| MK/EUR | 1,922.25 | 1,951.14 | 1,922.54 | 1,947.33 | 1,994.06 | 2,003.14 | 1,953.49 | 1,904.40 | 1,861.87 | 1,866.83 | 1,873.26 | 1,945.36 | 2,052.11 | **2,022.50*** |
| MK/ZAR | 95.40 | 95.89 | 96.89 | 97.91 | 101.09 | 105.69 | 101.15 | 99.29 | 95.82 | 97.11 | 97.04 | 98.15 | 96.28 | **96.98*** |
| **Foreign Exchange Reserves** | | | | | | | | | | | | | | |
| Total Reserves (USD'mn) | 603.07 | 610.18 | 591.51 | 572.02 | 549.85 | 560.3 | 519.0 | 516.9 | 530.9 | 570.60 | 569.5 | N/A | N/A | **N/A** |
| **Inflation** | | | | | | | | | | | | | | |
| Headline | 32.3% | 32.7% | 33.3% | 33.7% | 33.9% | 34.3% | 32.4% | 27.0% | 28.1% | 28.5% | 30.7% | 30.5% | N/A | **N/A** |
| Food | 39.9% | 40.7% | 41.5% | 41.9% | 42.0% | 43.5% | 40.3% | 33.7% | 35.6% | 36.0% | 38.5% | 37.7% | N/A | **N/A** |
| Non-food | 22.4% | 22.1% | 22.2% | 22.4% | 22.7% | 21.8% | 21.2% | 17.2% | 16.8% | 16.9% | 18.5% | 19.2% | N/A | **N/A** |
| **Interest Rates** | | | | | | | | | | | | | | |
| Monetary Policy Rate | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | **26.00%** |
| Average Interbank Rate (Overnight) | 22.54% | 23.39% | 24.17% | 24.20% | 24.37% | 24.20% | 24.20% | 23.23% | 23.22% | 23.19% | 23.18% | 23.19% | 23.18% | **23.20%** |
| Lombard Rate | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | 26.20% | **26.20%** |
| Commercial Bank Reference Rate | 24.90% | 25.00% | 25.10% | 25.40% | 25.40% | 25.40% | 25.40% | 25.50% | 25.30% | 25.20% | 25.10% | 25.10% | 25.10% | **25.10%** |
| **Government Securities Yields** | | | | | | | | | | | | | | |
| 91-days Treasury Bill | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | 16.00% | **16.00%** |
| 182-days Treasury Bill | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | **20.00%** |
| 364-days Treasury Bill | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | 26.00% | **26.00%** |
| 2-year Treasury Note | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | 28.75% | **28.75%** |
| 3-year Treasury Note | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | 30.00% | **30.00%** |
| 5-year Treasury Note | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | 32.00% | **32.00%** |
| 7-year Treasury Note | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | 34.00% | **34.00%** |
| 10-year Treasury Note | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | 35.00% | **35.00%** |
| **Year-to-date Return** | | | | | | | | | | | | | | |
| MASI | 2.95% | 4.03% | 9.15% | 16.26% | 27.33% | 28.60% | 32.69% | 47.08% | 55.06% | 29.90% | 64.92% | 69.52% | 68.39% | **68.26%** |
| DSI | 0.46% | 1.68% | 7.63% | 14.76% | 27.45% | 28.90% | 33.57% | 47.71% | 52.11% | 32.35% | 50.42% | 56.52% | 62.53% | **62.53%** |
| FSI | 20.39% | 20.38% | 19.75% | 26.76% | 26.48% | 26.54% | 26.51% | 42.71% | 75.65% | 15.08% | 152.62% | 148.16% | 103.82% | **102.94%** |

**: Reserve Bank of Malawi opening exchange rates (middle) as of 2 May 2025*

## *Disclaimer*

Although every effort was made to ensure the information in this report is authentic, the report should only be used for indicative purposes. Bridgepath Capital Limited accepts no responsibility or liability resulting from usage of information from this report. Every recipient using this report should make independent efforts to ascertain the accuracy of the information.

## Contact Information

**Head Office – Blantyre**
Bridgepath Capital Limited
1st Floor (106), Development House
Corner Henderson Street Road
P.O. Box 2920
Blantyre

**Lilongwe Office**
Bridgepath Capital Limited
Taurus House, Off Presidential Drive
City Center
Lilongwe

Tel No: + 265 111 828 355

Email: info@bridgepathcapitalmw.com

Website: www.bridgepathcapitalmw.com

## *Our Financial Advisory Solutions*

We provide a range of financial advisory solutions to meet your needs and challenges:

- **Valuations**
- **Business/Financial Modeling**
- **Independent Business Reviews**
- **Mergers and Acquisitions Transaction Services**
- **Business Plans/feasibility studies/Financial Projections**
- **Project Finance Advisory**
- **Capital Raising**
- **Equity/IPO Advisory**

**Invest.**
**Achieve.**
**Be Different.**